

CRYPTOASSETS

Balancing the diversity of exchanges and trading pairs is important for the robustness of any asset, including cryptoassets. Learning from bitcoin's reliance on too few currencies and exchanges early in its young life, we can now follow the trading pair diversity of other cryptoassets, especially with regard to fiat currency pairs.

Fiat currency pairs are particularly important for cryptoassets because they require significant integration with preexisting financial infrastructures. Due to high levels of required compliance, only a small number of cryptoasset exchanges offer the capability to accept fiat currency or connect to investors' bank accounts. These exchanges, such as Bitstamp, GDAX, itBit, Gemini, Kraken, and a few others, are hesitant to provide access to all cryptoassets, as they do not want to encourage trading in those that are not reputable. Given their caution, it is a stamp of approval for a cryptoasset to be added to their platforms.

Ethereum's ether provides a study on how exchanges adding a cryptoasset can increase the diversity of the trading pairs used to buy the asset. If our hypothesis on the importance of fiat currencies in cryptoasset trading holds, then as an asset grows in maturity and legitimacy, it should have more diversity in its trading pairs, with particularly strong growth in fiat currencies being used to buy the asset.

That has certainly been the case with ether. In [Figure 9.5](#) we can see that over the course of 2016 the diversity in trading pairs used to buy it has grown significantly. The dollar has